

TATA CONSUM

7.6%
ROE

9.8%
ROCE

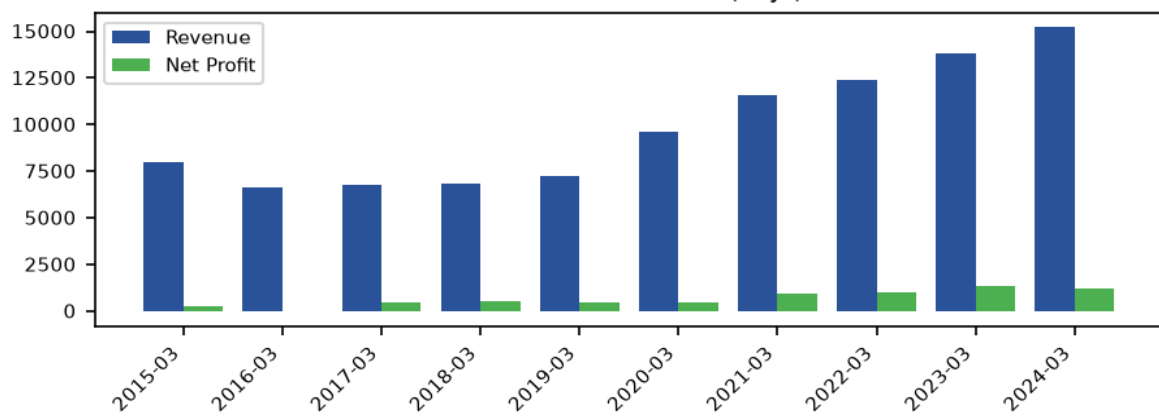
0.2x
D/E

16.0%
Revenue CAGR (5yr)

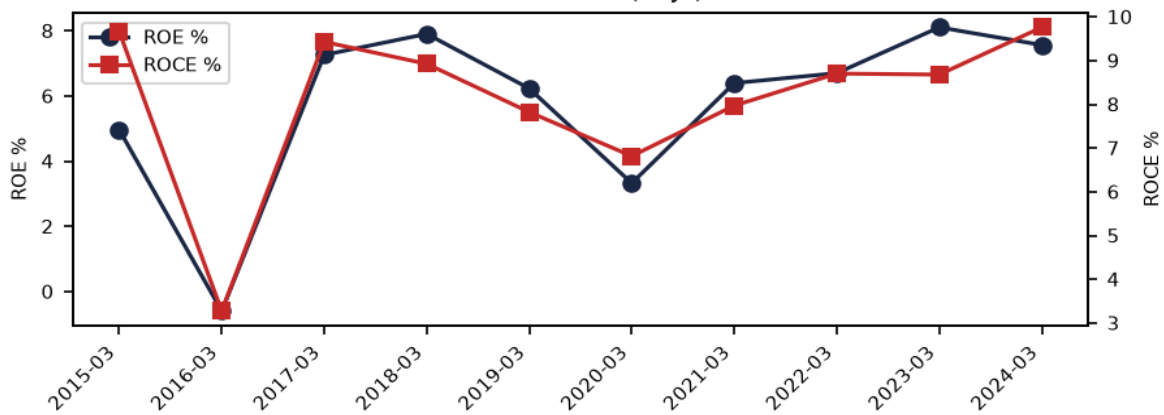
15.0%
OPM

8.0%
Net Profit Margin

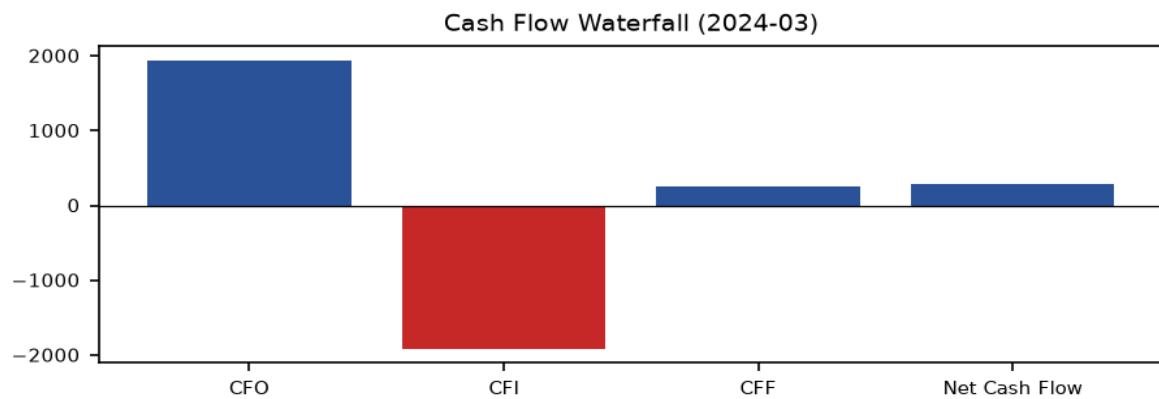
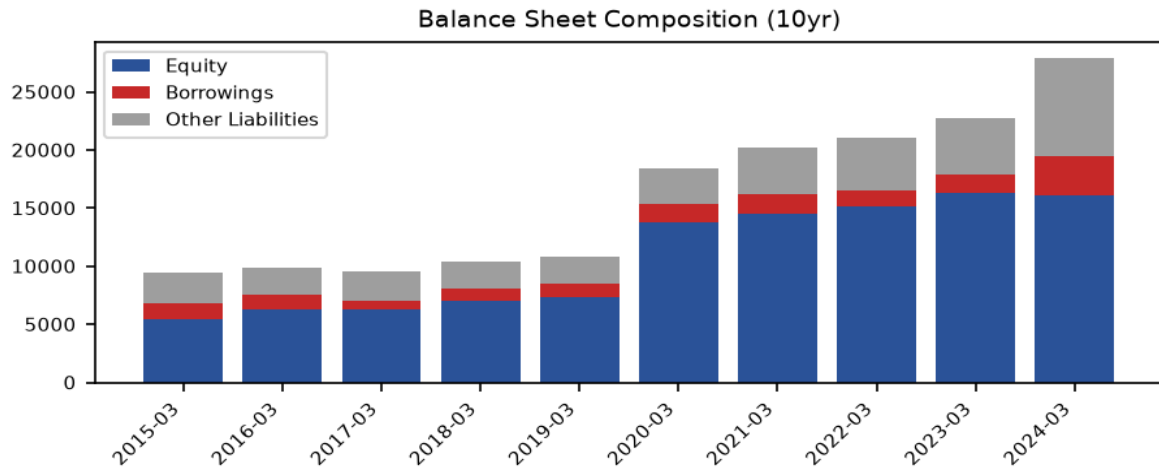
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



TATACONSUM



Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Mixed